

Advertising Policy and Procedure

As an originator, you are required to be informed and knowledgeable about all federal and state advertising regulations so please review these guidelines carefully.

All advertising to the general public must be done in the name of C2 Financial Corporation and MUST be pre-approved by the company. Additionally, all websites and social media that is used to generate business or discusses your loan business must be reviewed annually and approved each year.

If you make changes to your website or social media you MUST submit it for review to ensure the changes are compliant. You cannot make any updates 'live', until and unless it has been approved and reviewed.

Our advertising philosophy is very simple:

If your ad could be interpreted as misleading by the public or a state organization, we're going to ask you to revise it.

Please use the guidelines and procedures laid out below to ensure your ad is compliant and to assist us in our review.

APPROVAL PROCEDURE

1. Email the advertisement to advertising@c2financial.com. The advertisement must be approved by C2 prior to the advertisement being disseminated. Important: If you fail to obtain written approval for an advertisement prior to dissemination you will face discipline from the company, up to and including termination.
 - a. **Remember a website is considered an advertisement and is subject to this policy and procedure, must be reviewed and approved.**
 - b. **Social media that discusses loan services, your business as a loan originator or C2 in any way is also considered an advertisement and is subject to this policy and procedure, must be reviewed and approved.**
 - c. **Text Message solicitations are considered advertisements and must comply with this policy, be reviewed and be approved.**
2. Please submit the following documentation with your request for approval:
 - a. The advertisement you wish to disseminate to the public.
 - 1) If it a direct mail, newspaper ad, etc., a copy of the ad
 - 2) If it is a website, the domain.
 - 3) If it is a TV or Radio ad, a copy of the written script and a copy of the product (i.e. video of commercial or audio of radio ad).
 - 4) If social media, the domain.
 - 5) If text message, the content you wish to send.
 - b. Rate sheets used to create the advertisement or any other correspondence from a lender or lenders that have influenced the content of the advertisement.
 - c. Any other information that may be relevant in our review to ensure that there is no misleading information and that the advertisements complies with all federal and state rules and regulations including the below guidelines.
3. With regards to websites and social media:
 - a. The above approval procedure must be done annually on your hire anniversary date.
 - b. If you make any changes to your website or social media, this must be re-submitted and approved prior to the changes being live on your site/page.

RECORD RETENTION

You, the loan originator, must maintain copies of all advertisements for a period of 3 years from the date of dissemination and all back up documentation used to create such advertisement:

This means you must keep the following:

- 1) Copies of actual advertisements sent to consumers
 1. If it is a Radio or TV ad, this includes the script and a video or recorded copy of the final product.
 2. If it is a text message, the wording used, who it was sent to (person, phone number) and when it was sent.
- 2) Rate sheets
- 3) Correspondence with lenders utilized in creating the advertisement
- 4) Written approval of advertisement from C2

C2 may request copies of these documents from time to time to ensure that you are complying with this record retention requirement. C2 will also maintain copies of all advertisements submitted for review and approval.

AD GUIDELINES:

The following guidelines must be followed when engaging in any type of advertising (i.e. websites, print ads, media ads, social media, text messages etc.). These guidelines incorporate both state and federal (Mortgage Acts and Practices- Advertising 12 CFR part 1014 (aka Reg. N)) advertising regulations.

Additionally, at the end of this document there is a “Sample” written advertisement showing key features, i.e. license number placement, disclaimer, etc. to be used in a print ad.

1) GENERAL DISCLAIMER

The following disclaimer must be included on ALL ads in California:

This licensee is performing acts for which a real estate license is required. C2 Financial Corporation is licensed by the California Bureau of Real Estate, Broker # 01821025; NMLS # 135622. Loan approval is not guaranteed and is subject to lender review of information. All loan approvals are conditional and all conditions must be met by borrower. Loan is only approved when lender has issued approval in writing and is subject to the Lender conditions. Specified rates may not be available for all borrowers. Rate subject to change with market conditions. C2 Financial Corporation is an Equal Opportunity Mortgage Broker/Lender. (Add this for website disclaimer: The services referred to herein are not

available to persons located outside the state of California.

If you are advertising outside of California, a similar disclaimer would be used, but will have slight variation. The license numbers for the state you are advertising in must be listed- both the company numbers and your MLO number for each independent state. The company numbers are listed on the state list posted on the company website.

If you are licensed in Texas, you must also have either the wording or a link to the Texas Complaint/Recovery Fund Notice. The notice can be obtained from either the Texas website

(https://www.sml.texas.gov/ResidentialMortgageLoanOriginator/rmlo_mb_forms.html)

Or requested from our advertising compliance person.

Email advertising@c2financial.com for disclaimer assistance if you are outside of CA and for license numbers if you are having trouble locating this info on the company website.

2) VA AND FHA DISCLAIMERS

- a. VA/FHA: If you indicate that C2 Financial Corporation is VA or FHA approved, use the following language:

As a broker, C2 Financial Corporation is NOT individually approved by the FHA or HUD, but C2 Financial Corporation is allowed to originate FHA loans based on their relationships with FHA approved lenders.

- b. VA/FHA LOGOS: You can use the VA and FHA logos on advertisements as we have the ability to originate these loans through our approval via our Lenders, but if you use such logos, in the disclaimer at the bottom of your ad you must include the following language:

As a broker, C2 Financial Corporation is NOT individually approved by the FHA or HUD, but C2 Financial Corporation is allowed to originate FHA loans based on their relationships with FHA approved lenders. Or C2 Financial Corporation has the ability to broker VA loans based on their relationship with VA approved lenders. C2 Financial Corporation is not acting on behalf of or at the direction of HUD/FHA or the VA.

3) GOVERNMENT AFFILIATION

It is strictly prohibited to give any indication that you are affiliated with the government or any government agency on your advertisements. You cannot state that the government or a governmental agency has approved your advertisement or is any way associated with C2 or yourself.

This is false advertising and will be strictly enforced. Specifically, please be very careful to avoid governmental association on advertisements with regards to reverse mortgage products, even if the program is backed by a government program, C2 is not affiliated with such program and it is prohibited to represent this.

4) WEBSITES

The domain name of your website, i.e. www.c2financialcorp.com/lo, must be either a C2 issued website with the company domain or it can be your full licensed name.

All other domain names are prohibited. You cannot use a dba that is a company name, or a nickname, or a variation of your licensed name, nothing is allowed other than your licensed name as is registered with the BRE/State/NMLS.

The only exception to the above is for BRE licensed Brokers, if you have a website that is registered as a dba under your Broker license, you can maintain this website/domain, so long as it follows all BRE registration and advertising guidelines.

5) WEBSITE DISCLAIMER

Anything posted on your website MUST contain the following disclaimer:

The services referred to herein are not available to persons located outside the state of _____. Example: *If you are only licensed in California, your disclaimer would say: The services referred to herein are not available to persons located outside the state of California.*

6) NMLS CONSUMER ACCESS LINK ON ALL WEBSITES AND INTERNET BASED ADVERTISING

You must have a link to the NMLS Consumer Access website on your website. This website is:

www.nmlsconsumeraccess.org

This includes social media, yelp, red-fin, Zillow pages, etc. Anything online must include a link to the consumer access page, or the URL written out, if it is not possible to include a link.

7) SOCIAL MEDIA

Social Media is a form of advertising. If you have a personal Facebook, LinkedIn, Instagram, MySpace, YouTube, blog page, etc. and you have chosen to list your occupation and/or C2 Financial Corporation, your social media page MUST comply with all state and federal advertising guidelines and with this policy.

You must submit your social media page for review, you must submit any changes for review and you must ensure compliance with this policy. Failure to do so may result in discipline, up to and including termination.

If you utilize social media solely for personal, non-business related purposes, please ensure that there is no reference to your occupation, C2 Financial or the mortgage industry on your pages.

8) ADDITIONAL WEBSITE AND SOCIAL MEDIAL REQUIREMENTS

a. Websites:

- i. You must list the company web page – www.c2financialcorp.com on the home web page of your site.
- ii. The company's license name and license number must be displayed on the home page of the site.
- iii. Your MLO license numbers must closely follow your name where listed and be located on the home web page of your site.
- iv. The branch address you are affiliated with must be listed on the home page of the site; this is the physical office address from which you work.
- v. If an approved DBA is used on a web page the web page must still contain the company license name (C2 Financial Corporation), and the license information (license numbers), and
- vi. the web page must contain a link to the NMLS consumer access web site page for the company.

b. Social media pages or other online advertisements.

- i. The company's license name and license number must be displayed on the page.
- ii. If an approved DBA is used, the company licensed name (C2 Financial Corporation) and license number must be displayed on the page along with the DBA name.
- iii. The loan originator's license number must be displayed on the page.
- iv. It must contain a link to the NMLS consumer access web site page for the company.

9) LICENSE #s AND PLACEMENT

- a. All License #s: Your license number and C2 Financial Corporations license number must be included on all ads, both state license # and the NMLS number.
- b. Placement: The Loan Officers BRE and NMLS license numbers must be included in the body of the advertisement, not in the disclaimer or 'fine print' section. Additionally the license numbers need to be located closely following the MLO name on the advertisement.

- c. Title: You must list your title or an indicator such as “Loan Originator”, “Loan Consultant”, “Loan Officer”, etc. in the full text of the ad, not just in the disclaimer section. Do NOT use a title that could be misleading, such as “Director”, or “Vice President”, or another potential title that could indicate you have an officer, director or control person role within the company.

10) FULL NAME

All advertising must be under the company’s FULL NAME, C2 Financial Corporation. You cannot abbreviate the company name. Additionally, the originator must use their name as registered with NMLS.

11) INDUSTRY WEBSITES:

If you claim a link on a website such as Yelp, Zillow, etc. these sites are also advertising and you must ensure all information provided is accurate and in compliance, i.e. licensing numbers and information are provided and correct, the company name is complete, your name matches the NMLS, etc.

12) BUSINESS CARDS

Business cards are advertisements. You must list the following on all business cards:

- a. Full Name, as it is listed in the NMLS (you cannot use a nickname, abbreviation, etc. if you would like to use a different name, you can list this below in quotations showing it is your preferred name, but your full legal name as listed in the NMLS must be on your cards).
- b. Full Company Name- you must use the company’s full name.
- c. All License Numbers- your license numbers (state and NMLS) and C2’s license numbers (state and NMLS) must be listed.
- d. Title- You must have “Residential Mortgage Loan Originator” or “RMLO” on your card either in connection with another desired title or as your only title.
- e. Branch Address- You must list the branch with which you are affiliated in the NMLS, if you operate out of corporate, this must be listed, if you have a licensed branch, this address may be listed.
- f. Mailing Address- If corporate has approved the usage of a mailing address (i.e. your home address for purposes of receiving documents), this can also be included on your business cards, but this address must be in addition to the branch/corporate address (the address of the location you are affiliated in the NMLS with).

13) BRANCH ADDRESS

If an address is listed it must be a branch address registered with the state and NMLS. If

you are operating from a home office, you cannot list your home office address on the advertisement unless your home is licensed and registered with the state and NMLS.

This address, the branch you are registered with, must be listed on all advertising. If you are working out of the corporate office, then this is the address that must be listed.

14) MISLEADING/DECEPTIVE STRICTLY PROHIBITED

Anything that could be construed as misleading, false or deceptive is prohibited, and in addition to text, all pictures, size of texts, formatting, emphasis on certain terms/items, etc. will be considered. If it could create a false impression, it is not allowed regardless of how close it follows the guidelines.

15) OFFERS/DISCOUNTS

You cannot offer to pay for something for a particular sub-set of borrowers, or those that present a coupon, it must be on every loan, for all borrowers. It also cannot come out of commissions or have your compensation reduced to cover this cost.

You cannot offer to cover part of the costs, or cut your commission in any way as this not only is an advertising violation, but it violates the LO Comp rule, as we cannot reduce your compensation based on terms of the loan, or on a loan by loan basis.

16) SPECIFIC TERMS/TIME LIMITATION

If you choose to use specific terms, you must only state those terms that the lender (creditor) is actually offering, in order to prove this you must maintain the rate sheets in which the terms are coming off of and provide this along with the advertising approval form. If certain terms are only available for a certain amount of time, this also must be stated.

17) RATE AND APR

If you include an interest rate of finance charge you must also include APR. The APR must be disclosed with equal prominence in the advertisement, i.e. cannot hide APR in fine print.

If you advertise a rate that contains points, you also must explain and disclose how those work and the effect of such points on the borrower. This disclosure must be clear, conspicuous and located close to the rate as well as in the same size font.

C2 strongly advises against advertising any rates as mistakes in calculation, points, or other factors can give rise to advertising violations and due to the constant changes in

the market, you MUST have them approved prior to dissemination/posting (on website), and by the time they are approved, they likely have changed.

18) AVOID FINE PRINT

Avoid using fine print, separate statements or other “qualifying language or formats” to correct a potentially misleading headline. Say what you mean, do not try to grab attention with a misleading headline with fine print to correct it. This is not allowed.

19) PROHIBITED PHRASES

You may not use the following phrases (or anything similar or that could be construed as such). If you have questions about language you would like to use, please ask:

- Your loan is guaranteed
- No Cost Loan
- You can skip mortgage payments
- No points, no fee loan
- We guarantee the lowest rate, or Lowest Rates Available
- We guarantee a specific rate
- We pay closing costs
- “We have the best rates”, or “we can offer you the best loan”, or “have better terms”, etc. (anything that is a superlative or comparative is prohibited as is ambiguous and misleading and cannot be proven)
- Any term that cannot be substantiated is prohibited, i.e. “Leading Mortgage Company”

As a reminder, these phrases cannot be located on a website or social media page either, as both are also advertising.

20) TESTIMONIALS

Any and all testimonials must be from actual, live borrowers. This means you cannot allow AI or other artificial generation of testimonials on your websites/social media/etc. You also cannot have someone other than an actual client write a testimonial for you, as this is misleading and deceptive.

Additionally, please review and scrub any and all testimonials, referrals, etc. that are posted on your website. Even if someone else said it, if you post it, you are responsible for it and it cannot violate this policy or contain prohibited, superlative phrases that cannot be substantiated (i.e. “this is the BEST broker”, “Joe MLO got me the best rate”, “C2 has the most knowledgeable MLO’s”, “C2 offers the most products out there”, etc.

OTHER CONCENRS

- 21) If there is a representation that loans are available to a maximum percentage of market value, you must state how the market value will be determined.
- 22) No implication that the borrower will be able to obtain a loan without deductions from principal or payment of commissions, costs or expenses.
- 23) If you are going to advertise a rate that can be obtained including YSP you need to adequately explain that the closing costs are effectively being financed and therefore still being paid by the borrower. Detailed explanations are necessary.
- 24) No representation that a loan can be approved by telephone.
- 25) No representation that credit rating or other personal financial data won't be a factor unless this is a true statement.
- 26) No misleading advertising of Fixed Rates if there is the possibility of the rate adjusting.
- 27) If the APR is disclosed and is subject to increase after consummation, this must be disclosed although the amount of the increase, the limits and the effect on the payment schedule does NOT need to be disclosed.
- 28) The following are "trigger terms":
 - amount or percentage of any down payment
 - amount of any one payment
 - amount of any finance charge
 - # of payments or period of repayment

If any of these "trigger terms" above appear in the advertisement, then the following terms must also appear as applicable:

- Amount or percentage of down payment
 - Terms of repayment (ex: \$359 for 48 months) which reflect the repayment obligations over the full term of the loan including balloon payment
 - APR using that term and if the rate may be increased after consummation
- 29) If you include specific payment amount, i.e. \$2000 per month, you must include the following in equally prominent disclosures:
 - a. Term of the loan,
 - b. Principal loan amount,
 - c. Interest rate,

- d. Annual percentage rate (APR), and/or
 - e. If there is an adjustable rate, you must disclose how long the initial interest rate is in effect, how often and how much the interest rate and/or payments can change and if there is a potential for negative amortization, and/or
 - f. If there is a balloon payment the number, amount and period of payments scheduled to date of maturity amount of balloon payment, if applicable.
- 30) If you include a representation of a specific installment payment, interest rate, APR or other provision of a loan, must state whether it is available for first loans, junior loans or both first and junior loans.
- 31) Adjustable Rate Loans: You must state how long the initial interest rate will be in effect, how often the rates may adjust and by how much. Also, if there is the potential for negative amortization (deferred interest), you must conspicuously disclose this.
- 32) Non-Traditional and sub-prime loans that are advertised have very strict requirements. If you desire to advertise one of these types of loans it must comply with both state and federal strict requirements. Therefore, please check with compliance before creating this advertisement, failure to do so will result in disciplinary action.
- 33) Do not state that:
- a. The borrowers are pre-approved or that their property is pre-approved;
 - b. That the loans are insured;
 - c. That poor or no credit is acceptable;
 - d. No equity is required or no appraisal is required, unless the advertisement makes clear the conditions under which these are not required and make sure to maintain the rate sheets and lender information to support these products;
- 34) Advertising that looks like a check is prohibited.
- 35) You cannot solicit borrower's using a prerecorded message machine, regardless of whether this borrower is a past client.
- 36) All information posted on a website qualifies as advertising. All website information must be reviewed by management prior to posting.
- a. Ensure that your license number is listed on every page of the site
 - b. The only websites that may be used must have a domain of C2 Financial Corporation unless you have a C2 approved dba that has been registered with the county and the BRE.
- 37) If you will be using another lender's name on your advertising, such as in circumstances where you stating in a letter the consumer's current lender and balance, etc., the

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following guidelines apply:

- i) The advertisement/solicitation must clearly and conspicuously state:
“Company Name and _____ (Name of LO) are not sponsored by or affiliated with (the lender) and the advertisement/solicitation is not authorized by (the lender) named in this advertisement/solicitation.”
 - ii) You can only include a consumer’s loan number if the advertisement clearly and conspicuously states: “The consumer’s loan information was not provided by (the lender)”.
 - iii) You must make the above statements in close proximity to and in the same font or larger than the one used in the rest of the advertisement/solicitation. And this must be included on an envelope used or showing through the window of the envelope of the advertisement/solicitation.
 - iv) The advertisement/solicitation must not cause a reasonable person to be confused, mistaken, or deceived initially or otherwise as to the lenders affiliation with Company and the person (the LO advertising) using the lender’s name or the lender’s approval or endorsement of the advertisement/solicitation.
- 38) Broadcast faxing is illegal and prohibited; if you are going to send anything by fax you must have permission (and once you have permission it must comply with all parts of this policy).
- 39) Spam emails are illegal and prohibited; if you are going to send anything by email, you must have permission (and once you have permission it must comply with all parts of this policy).
- 40) Spam Text messaging is illegal and prohibited; if you are going to text a solicitation or ad, you must have permission (and once you have permission it must comply with all parts of this policy).

History:

Date	Drafted By	Version/Notes
Jan 1, 2013	Noelle Pepper	V. 1
Dec 26, 2013	Noelle Pepper	V. 2
Sept. 1, 2014, finalized 10/27/14	Noelle Pepper	V. 3
Nov. 25, 2015	Noelle Pepper	V. 4
April 21, 2016	Noelle Pepper	V. 5
Sept. 30, 2019	Noelle Pepper	v. 6
October 2020	Noelle Pepper	v. 7- updates
April 2021	Noelle Pepper	v. 8- email update
May 2023	Noelle Pepper	v. 9- testimonials update
February 2024	Noelle Pepper	C.10- Updates

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SAMPLE AD – Showing License #s, Title, and standard disclaimers

Borrower
Address
City, St ZIP

Date

Dear Homeowner:

According to our records, we may be able to help you refinance your loan into a lower interest rate with a lower monthly payment, etc. etc. etc.

Currently, we have a 4.5% rate (4.55% APR) program which many borrowers are able to qualify for.

Please contact us for more information

Sincerely,

Joe Smith
Senior Loan Consultant
BRE # 1234567, NMLS # 87654
C2 Corporate Address
San Diego, CA 92121

C2 Financial Corporation is licensed by the California Bureau of Real Estate, Broker # 01821025, NMLS # 135622. This licensee is performing acts for which a real estate license is required. C2 Financial Corporation is an Equal Housing Mortgage Broker/Lender. Loan approval is not guaranteed and is subject to lender review of information. All loan approvals are conditional and all conditions must be met by borrower. Loan is only approved when lender has issued approval in writing and is subject to the Lender conditions. Specified rates may not be available for all borrowers. Rate subject to change with market conditions